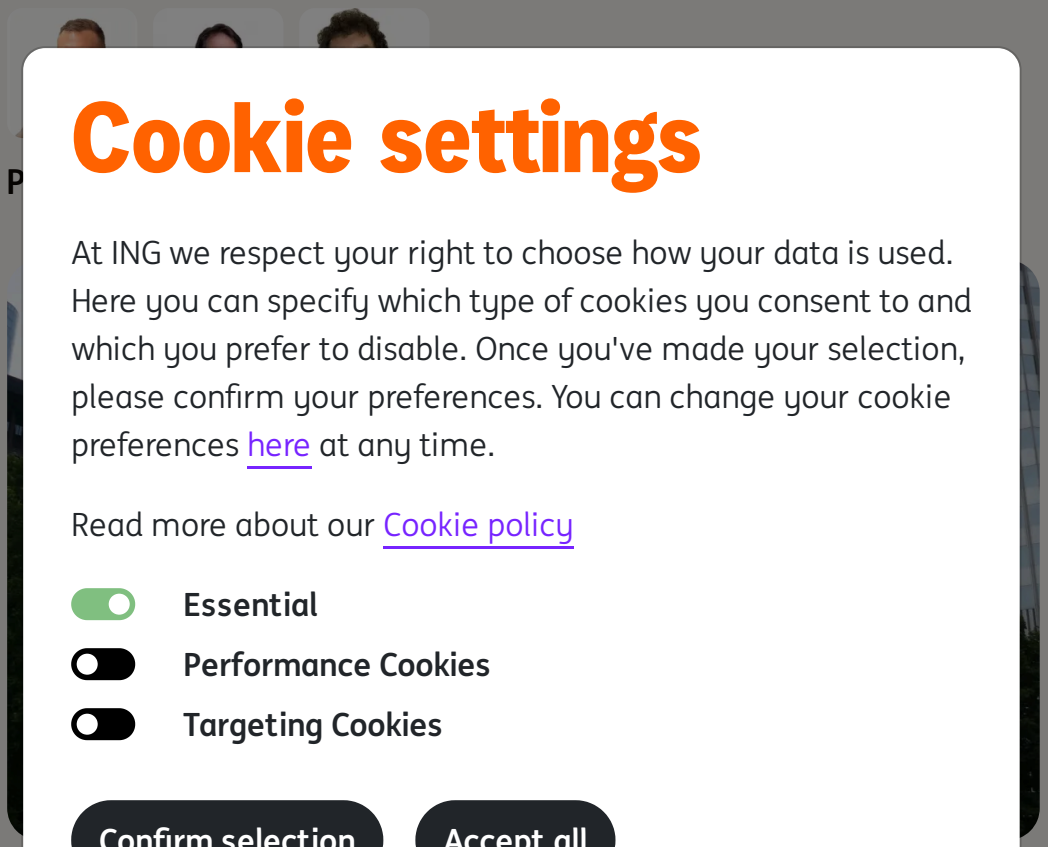
US Treasuries are in a mood to test the downside for yields after all. Still not sold on following through on it. But monitoring. The ECB meeting did not change our rates outlook and confirms a December hike is likely. We brace for more volatility as Friday's CPI and GDP readings from the eurozone are important ingredients in markets' rate hike expectations



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US Treasuries looking through the rate hike narrative for December

The US 10yr yield made a decisive gap away from 5%, but to the downside. This was not a fundamentally driven move, in the sense that Thursday's PCE inflation data continued to point to an ongoing significant deviation from where Chair Warsh would like to see it at (he reiterated in the aftermath of the FOMC meeting that he wants to see 2% on core, but it rose to 3.1% for September). The

income, spending and jobless claims data were also in line, and at the firm end of the range.

Instead, Treasuries are willing to remain quite responsive to the vagaries of the sentiment on AI valuations and equity market wobbles. Nothing terribly sinister went down here, but the ongoing mood music has just turned that bit sour. Meanwhile, the 7yr auction was fine, with no tail, and met decent demand.

What we can say is the move was more a back-end thing than a front-end one. Some chunky flows did go through on the buy side. We can't ignore this move, as it's contrary to our preferred morph b[illegible] c[illegible]

E[illegible]

A[illegible] fr[illegible] a[illegible] d[illegible]

T[illegible] U[illegible] a[illegible] a[illegible] w[illegible]

T[illegible] hawkish one. A Reuters report about ECB staff estimating that higher bond yields could cut cumulative growth by 100bp and inflation by 90bp in 2027-2028 relative to the September projection adds to the notion that the December hike could be the ECB's last of the cycle.

While this is also our baseline scenario, more needs to fall into place for markets to lean more in that direction. Easing energy prices and no evidence of second-round effects would certainly help, but especially on the latter, greater certainty needs to be established over months of tracking the data.

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Currently, the market still sees the upside inflation risks flagged by President Christine Lagarde as keeping the ECB on a hawkish footing. While the market's pricing for further ECB tightening over the next 12 months has dropped towards 65bp, this was mainly driven by French-related risk-off momentum and, of late, also growing AI jitters. As arguments for the ECB to change its tack, the spread widening thus far will likely not be sufficient, meaning the market will remain exposed to bearish risks.

Friday's events and market views

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